Entry Information

ID:
AML.CS0017
Type:
Case-Study
Name:
Bypassing ID.me Identity Verification
URL:
https://atlas.mitre.org/studies/AML.CS0017/
Incident Date:
2020-10-01
Target:
California Employment Development Department
Actor:
One individual

Description

An individual filed at least 180 false unemployment claims in the state of California from October 2020 to December 2021 by bypassing ID.me's automated identity verification system. Dozens of fraudulent claims were approved and the individual received at least $3.4 million in payments.

The individual collected several real identities and obtained fake driver licenses using the stolen personal details and photos of himself wearing wigs. Next, he created accounts on ID.me and went through their identity verification process. The process validates personal details and verifies the user is who they claim by matching a photo of an ID to a selfie. The individual was able to verify stolen identities by wearing the same wig in his submitted selfie.

The individual then filed fraudulent unemployment claims with the California Employment Development Department (EDD) under the ID.me verified identities.
Due to flaws in ID.me's identity verification process at the time, the forged
licenses were accepted by the system. Once approved, the individual had payments sent to various addresses he could access and withdrew the money via ATMs.
The individual was able to withdraw at least $3.4 million in unemployment benefits. EDD and ID.me eventually identified the fraudulent activity and reported it to federal authorities. In May 2023, the individual was sentenced to 6 years and 9 months in prison for wire fraud and aggravated identify theft in relation to this and another fraud case.

Attack Procedure:
[AML.T0047] AI-Enabled Product or Service: The individual applied for unemployment assistance with the California Employment Development Department using forged identities, interacting with ID.me's identity verification system in the process.

The system extracts content from a photo of an ID, validates the authenticity of the ID using a combination of AI and proprietary methods, then performs facial recognition to match the ID photo to a

selfie.
^{[[7]](https://network.id.me/wp-content/uploads/Document-Verification-Use-Machine-Vision-and-AI-to-Extract-Content-and-Verify-the-Authenticity-1.pdf)}

The individual identified that the California Employment Development Department relied on a third party service, ID.me, to verify individuals' identities.

The ID.me website outlines the steps to verify an identity, including entering personal information, uploading a driver license, and submitting a selfie photo.
[AML.T0015] Evade AI Model: The individual collected stolen identities, including names, dates of birth, and Social Security numbers. and used them along with a photo of himself wearing wigs to acquire fake driver's licenses.

The individual uploaded forged IDs along with a selfie. The ID.me document verification system matched the selfie to the ID photo, allowing some fraudulent claims to proceed in the application pipeline.
[AML.T0048.000] Financial Harm: Dozens out of at least 180 fraudulent claims were ultimately approved and the individual received at least $3.4 million in unemployment assistance.

References

- New Jersey Man Indicted in Fraud Scheme to Steal California Unemployment Insurance Benefits — https://www.justice.gov/usao-edca/pr/new-jersey-man-indicted-fraud-scheme-steal-california-unemployment-insurance-benefits

- The Many Jobs and Wigs of Eric Jaklitchs Fraud Scheme — https://frankonfraud.com/fraud-trends/the-many-jobs-and-wigs-of-eric-jaklitchs-fraud-scheme/

- ID.me gathers lots of data besides face scans, including locations. Scammers still have found a way around it. — https://www.washingtonpost.com/technology/2022/02/11/idme-facial-recognition-fraud-scams-irs/

- CA EDD Unemployment Insurance & ID.me — https://help.id.me/hc/en-us/articles/4416268603415-CA-EDD-Unemployment-Insurance-ID-me

- California EDD - How do I verify my identity for California EDD Unemployment Insurance? — https://help.id.me/hc/en-us/articles/360054836774-California-EDD-How-do-I-verify-my-identity-for-the-California-Employment-Development-Department-

- New Jersey Man Sentenced to 6.75 Years in Prison for Schemes to Steal California Unemployment Insurance Benefits and Economic Injury Disaster Loans — https://www.justice.gov/usao-edca/pr/new-jersey-man-sentenced-675-years-prison-schemes-steal-california-unemployment

- How ID.me uses machine vision and AI to extract content and verify the authenticity of ID documents — https://network.id.me/wp-content/uploads/Document-Verification-Use-Machine-Vision-and-AI-to-Extract-Content-and-Verify-the-Authenticity-1.pdf